TOPIC 4 · ECONOMIC POLICIES AND MANAGEMENT

ABC News · Clare Armstrong, chief digital political correspondent
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AI data centres: an economic opportunity or a political problem?

Data centres turned into a **cost-of-living and local planning issue** in the US midterms. With multibillion-dollar projects planned across Australia, the government must weigh **investment and growth** against **energy, water and community costs**.

WHAT THE ARTICLE SAYS

- **US backlash:** dozens of local ballot measures restricting data centres passed in states including California, Illinois, Maine and New York. Texas holds about **25%** of planned US capacity.
- **Queensland:** the **$32 billion** Western Downs Digital Park near Dalby; its first of four centres is leased by Anthropic from 2027. A local MP says residents aren't being heard.
- **Victoria:** a **2.4GW**, 350-hectare proposal at Plumpton faces local opposition.
- **Water:** Sydney Water warns the industry could use up to **a quarter of Sydney's drinking water by 2035**.
- **Policy:** Labor's draft national AI standards would require operators to **bring their own energy**, manage water and consult communities; a parliamentary committee reports within weeks. Senator David Pocock wants a **5% levy**.
- **Energy split:** Queensland's Premier says coal-powered centres can comply; federal Energy Minister Chris Bowen says only renewables will do.

$32b
Western Downs Digital Park, Qld

2.4GW
Proposed Plumpton, Vic facility

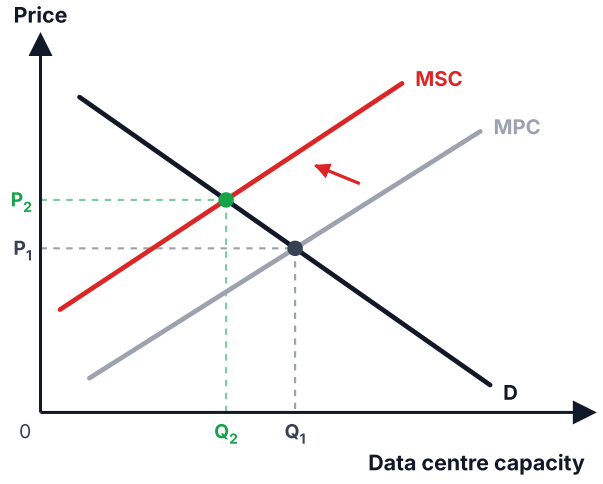
25%
Possible share of Sydney's drinking water by 2035

5%
Levy proposed by Senator Pocock

Key terms: negative externality: a cost imposed on third parties that is not reflected in the market price · **market-based instrument**: a levy or price that changes incentives · **regulation**: rules such as "bring your own energy".

DIAGRAM

Why the market builds too many data centres



Operators base decisions on their **marginal private cost (MPC)**. They don't pay for the strain they put on shared electricity grids and water supplies, so the **marginal social cost (MSC)** is higher.

The free market produces at Q_1, more than is socially efficient. A **5% levy** or a **"bring your own energy"** rule makes firms bear the full social cost, moving output to Q_2 at the higher price P_2.

COMPARE

The trade-off for policymakers

Benefits

- Large private **investment** and construction jobs
- Supports **AI-driven productivity** and economic growth
- Regional development (e.g. Western Downs, Qld)

Costs

- Pressure on **electricity prices** and grid capacity
- **Water** scarcity in cities such as Sydney
- Emissions if powered by coal; local land-use conflict

Exam angle: use this as evidence for **environmental management policy**. Compare regulation ("bring your own energy") with a market-based levy, and link it to **ecologically sustainable development**: balancing growth now against resources for future generations.

Syllabus link: Topic 4: environmental management policy; microeconomic policy (energy markets, regulating investment). Topic 3: environmental sustainability and market failure (externalities).

Try this

1. Identify **two** negative externalities of data centres. **(2 marks)**
2. Using a diagram, explain how a 5% levy could correct the market failure caused by data centres. **(5 marks)**

Source: abc.net.au/news/2026-11-08/data-centres-australia-community-objection/107356606

Diagrams are illustrative, not to scale